

Immovable Property Acquisition Act, 1956

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 4

Acquisition of Immovable Property Act, 2013

Royal Seal Date

2013.5.16

Publication Date

2013.5.22

Amending Acts

1. Nepal Act Amendment Act, 2018 2018.7.30 2018.8.1

2. Some Nepal Laws (Amendment and Reorganization) Act, 2020 2020.11.16 2020.11.16

Certification and Publication Dates

3. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 This Act is deemed to have come into force from Jestha 15, 2065. 2066.10.7

4. Some Nepal Acts Amendment Act, 2075 to Make Conformable to the Constitution of Nepal 2075.11.19

Act No. 5 of the Year 2013

An Act Made for the Acquisition of Immovable Property

Amended by Some Nepal Laws (Amendment and Reorganization) Act, 2020. Whereas it is necessary to make proper provision for the acquisition of immovable property to maintain peace and order and the convenience and economic interest of the general public, this Act is enacted and issued by His Majesty Maharajadhiraja on the advice of the Council of Ministers. 1. Short Title, Extent, and Commencement: (1) This Act may be called the "Acquisition of Immovable Property Act, 2013."

(2) This Act shall come into force immediately in the Kathmandu Valley and in other areas from such date as may be specified by the Government of Nepal by notification published in the Nepal Gazette. The Act shall be enforced in the remaining areas from 2016.12.10, as notified in the Nepal Gazette dated 2016.12.15. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Owner" means a person who, for himself or on behalf of or for the benefit of any other person, or as trustee or guardian of any other person, is currently receiving or is entitled to receive the rent of any house or land, or who, upon leasing such house or land, is entitled to receive and take such rent.

(b) "Interested person" used in relation to any property shall include all persons who are entitled to claim or are authorized to claim compensation payable by reason of the acquisition of such property under this Act.

(c) "House and land" means any building or any part thereof, and includes:-

(1) Any garden, land, and shed appurtenant to such building or any part thereof, if any,

(2) Things attached to such building or any part thereof for more beneficial enjoyment, and

(3) Any furniture, goods, and fixtures within the building or any part thereof.

(d) "Tenant" shall include a mortgagee-lessee or a person residing with permission. 3.

Power to Acquire Immovable Property: (1) If, for any public work, Added by Some Nepal Acts Amendment Act, 2075 to Make Conformable to the Constitution of Nepal.the Government of Nepal, the Provincial Government, or the Local Level requires or is likely to require any immovable property and it appears that it must be acquired, the Government of Nepal may,- (a) serve a written notice on the owner of the property or any other person using it, requiring them to appear within 35 days of receipt of the notice and submit to the Government of Nepal the reasons, if any, why such property should not be acquired by the Government of Nepal, together with the grounds thereof; and (b) by order, direct that the owner of the property or any other person shall not, without the approval of the Government of Nepal, sell, alter its size, or lease it to any tenant before the expiry of 35 days from the date of receipt of such order. (2) If any person using the property or having a claim or interest therein has shown any cause, and upon consideration thereof, if it appears to the Government of Nepal that acquisition of the property is appropriate or necessary, the Government of Nepal may, by written order, acquire such property and may also issue such other orders as are considered necessary and appropriate in respect of the work of such acquisition. Provided that none of the following properties or any part thereof shall be acquired:- (a) a property actually used by the owner as his private residence or as a residence for his family members; or (b) a place of religious worship or a public place such as a school, hospital, public library, rest house, or orphanage, or a property used solely for such religious worship, school, hospital, library, or orphanage, including accommodation for the persons concerned. Provided further that, if any tenant has been using the acquired property as a residence for a period of 2 months prior to the date of the notice given under subsection (1), the Government of Nepal shall, as far as possible, arrange alternative accommodation suitable in its opinion for such tenant. (3) No order of acquisition issued under this section shall be questioned in any court. 4.

Power to Place Acquired Property under the Control of the Government of Nepal: (1) If any property is acquired under section 3, the Government of Nepal may issue an order in the form of a written notice to the owner of such property or any other person using it, requiring them to deliver or vacate such property within 15 days from the date of receipt of the notice to the authorized officer specified in the notice. (2) If any person refuses to comply with any order issued under subsection (1) or violates it, the officer authorized in that behalf may use such force as is necessary to take and cause to be taken possession of the property. 5. Alteration and Repair of Acquired Property: After any house and land is acquired under section 3, the Government of Nepal may, by order, require the owner to carry out necessary repairs to such house and land in the manner and within the time specified in that order, and if the owner fails to carry out any repairs required to be done according to such order, the Government of Nepal may carry out such repairs and deduct the expenses incurred therefrom from any compensation payable to him. For the purpose of using the acquired house and land in a more convenient manner, the Government of Nepal shall also make reasonable alterations at its own expense. 6. Release from Acquisition: (1) The Government of Nepal may, at any time, release any property acquired under this Act, and such property shall, as far as possible, be returned in the condition it was in at the time of acquisition by the Government of Nepal. Provided that Amended by Nepal Act Amendment Act, 2018.any alteration made under the second paragraph of section 5 and natural loss or wear and tear arising from use or from an act of God shall not be taken into account. (2) When releasing any property from acquisition, the Government of Nepal shall cause such inquiry as it deems necessary to be made and shall give written notice of the person to whom the property is to be returned, and such property shall, as far as possible, be given to the person from whom it was acquired or to his representative entitled to

claim it. (3) After the acquired property has been delivered to the person specified in the order issued under subsection (2), all liability of the Government of Nepal in respect of such property shall cease.

Provided that this shall not prejudice the right of any other person entitled to a claim in such property to enforce his right by due process of law against the person receiving the property.

(4) If the person to whom the acquired property is to be returned cannot be traced, and there is no agent or other person authorized to receive it on his behalf, the Government of Nepal shall publish a notice in the Nepal Gazette that the acquisition of such property has been released, and from the date of such publication, the property shall be deemed to have been delivered to the interested person. 7. Payment of Compensation: If any property is acquired under this Act, the Government of Nepal shall pay compensation, and such compensation shall be assessed in accordance with the principles specified in section 8. Provided that if the Government of Nepal is satisfied or of the opinion that the owner, while being a citizen of Nepal, ordinarily resides outside the State of Nepal or has taken most of his movable property outside the State of Nepal, no compensation shall be paid to such owner. 8. Principles and Manner of Determining Compensation: (1) The compensation referred to in section 7 shall be determined in the following manner:-

- (a) if the amount of compensation is settled by agreement, according to such agreement;
- (b) if not settled by agreement, the Government of Nepal shall appoint a sitting or retired judge as arbitrator, and compensation shall be paid in accordance with the decision of such arbitrator.

(2) In paying compensation for the acquired property, the following shall be paid:-

- (a) for the entire period of acquisition, if the use and enjoyment of the acquired property had been leased out, the amount equal to the rent or dues that would have been payable for such use and enjoyment; and
- (b) loss to such property during the acquisition period shall not take into account natural loss or wear and tear arising from use or from an act of God, and Amended by Nepal Act Amendment Act, 2018.any alteration made under the second paragraph of section 5; and
- (c) the cost of restoring the property to the condition it was in at the time of acquisition. 9. Delegation of Powers: The Government of Nepal may, by order published in the Nepal Gazette, authorize any government officer to exercise the powers that he may exercise under this Act, subject to such conditions and circumstances as may be specified in the notice. 10.